FIFTH GENERATION
ADVISERS

# Company Review

*Resource valuation, risk and investment thesis*

**COMPANY**

Paladin Energy Ltd (OTCQX: PALAF | ASX: PDN | TSX: PDN)

**ANALYSIS DATE**

October 15, 2026 (revised from October 9, 2026)

**METHOD**

Don Durrett 10-factor method and sum-of-the-parts (USD)

**PREPARED BY**

Robert Maxwell, Fifth Generation Advisers

Read the Conflicts of Interest and Important Disclosures sections before relying on this report.

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# Executive Summary

Paladin is a uranium producer and developer with a 75% interest in the producing Langer Heinrich Mine (LHM) in Namibia (Tier 2) and 100% of the Patterson Lake South (PLS) project in Saskatchewan, Canada (Tier 1) [1][3]. The Durrett 10-factor score is 6.6 / 10. Our sum of the parts (1.3x AISC, stage factors, 5% discount rate, basic shares) gives $4.13, $7.13 and $17.15 per share at U3O8 of $85, $100 and $150, against a price near $6.09 [5]. The $100 case is below the Investing.com analyst average of about $9.48 [6].

Main drags: PLS needs about US$1.23B of capital against US$265M of cash, with FID not targeted until end-2027 [1][3][12]; LHM full-cost margins are thin at $85 uranium (June-quarter cost of production US$51.6/lb and US$61.60/lb in the September 2026 quarter, excluding stockpile, stripping, royalties, G&A and sustaining capital) [1][2][13][16]; and the CNSC has not set a PLS hearing date [11]. Recommendation: Hold with downside bias. Data Quality Score 6.9 / 10.

| $6.09 | ~$2.7B | 6.6 / 10 | +17% |
|---|---|---|---|
| PRICE (USD) | MARKET CAP | DURRETT SCORE | SOTP VS. PRICE (BASE) |

**Recommendation: Hold (downside bias).** The $100 case shows modest upside, the $85 case is 32% below the price, and PLS funding and licensing are unresolved.

*Market cap = $6.09 x 449.3M shares outstanding [5]; performance rights and options not retrieved, so the share count is basic (prov.). AUD converted at 0.6962 USD/AUD [9].*

# Project List

| PROJECT | LOCATION | OWNERSHIP | STATUS |
|---|---|---|---|
| Langer Heinrich Mine (open pit, IX) | Namibia | 75% | Producing; ramp-up completed FY2026; 4.82 Mlb produced; Sep-2026 quarter 1.00 Mlb [1][16] |
| Patterson Lake South (Triple R) | Saskatchewan, Canada | 100% | EIS approved Feb 2026; CNSC found the application sufficient (Jun 11, 2026 letter), hearing date not set; FID targeted end-2027; first production 2031 [3][10][11][12] |
| Michelin and other exploration | Canada, Australia | 100% | Exploration; Michelin tenements partly written off in FY2026; not valued [1] |

*Table 1. CNOL holds the other 25% of Langer Heinrich [1].*

# Project Locations

*Map omitted in markdown. Langer Heinrich (Namibia) and PLS (southwestern Athabasca Basin); positions approximate.*

# Reserves, Resources and Plausible Value

| PROJECT | P&P | M&I total | M&I ex-reserves | INFERRED | PLAUSIBLE | ATTRIB. |
|---|---|---|---|---|---|---|
| Langer Heinrich (75%) | 77.5 | 113.7 | 36.2 | 8.4 | 95.8 | 71.9 |
| PLS / Triple R (100%) | 93.7 | 118.8 | 25.1 | 10.9 | 103.9 | 103.9 |
| **Total attributable** | | | | | | **175.8** |

*Table 2. Units: Mlb U3O8, 100% basis except the attributable column. LHM per Paladin Mineral Resources and Ore Reserves summary as at Jun 30, 2025 (JORC 2012) [15]: Measured 94.2 (in-situ plus stockpiles), Indicated 19.5, Inferred 8.4; reserves Proved 51.0, Probable 8.8, Stockpiles 17.7 = 77.5. Resources are inclusive of reserves. The LHM statement is not depleted for FY2026 production (4.82 Mlb) or the Sep-2026 quarter (1.00 Mlb); a Q1 FY2027 slide summary cites a "70 Mlb" reserve that is not verified [17]. PLS per 2023 feasibility study, reaffirmed Aug 2025 [3] (more than 3 years old); Paladin has since published JORC-format PLS estimates [18].*

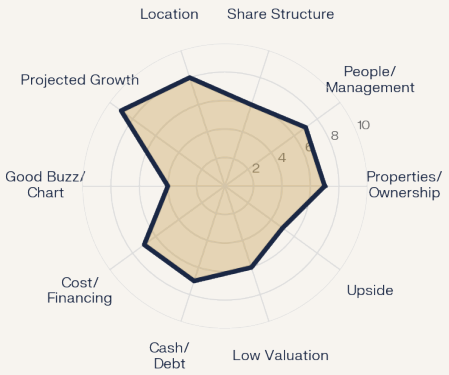
Plausible = P&P x 0.9 + (M&I minus reserves) x 0.65 + Inferred x 0.3. LHM: 77.5x0.9 + 36.2x0.65 + 8.4x0.3 = 95.8 Mlb (x75% = 71.9). PLS: 93.7x0.9 + 25.1x0.65 + 10.9x0.3 = 103.9 Mlb.

# 10-Factor Analysis

| FACTOR | SCORE | RATING | RATIONALE |
|---|---|---|---|
| Properties / Ownership | 7 | Good | Tier 2 assets: producing LHM (75%) plus high-grade PLS (100%) [1][3] |
| People / Management | 7 | Good | FY2026 output at upper end of guidance, cost at lower end [1]; 2025 flooding delayed ramp-up; Sep-2026 quarter output at low end of range [16] |
| Share Structure | 6 | Fair | 449.3M basic shares [5]; shares up about 50% since Dec 2024 [13] |
| Location | 8 | Strong | Canada Tier 1; Namibia Tier 2; 25% Chinese partner at LHM [1] |
| Projected Growth | 9 | Excellent | 4.8 to 5.1-5.6 Mlb/yr at LHM [2], plus about 9 Mlb/yr at PLS from 2031 [3] |
| Good Buzz / Chart | 4 | Weak | $6.09 after a roughly 5% drop on Oct 7 [5]; Goldman upgraded only to Neutral [6] |
| Cost / Financing | 7 | Good | LHM cost of production US$44-48/lb guided [2]; PLS AISC US$15.2/lb [3]; PLS capex unfunded |
| Cash / Debt | 7 | Good | Net cash US$233M, US$70M RCF undrawn [1]; PLS capex US$1.23B [3] |
| Low Valuation Estimate | 6 | Fair | EV about $2.5B, about $14 per attributable plausible lb (175.8 Mlb) |
| Upside Potential | 5 | Fair | SOTP at $150 is 2.8x price; PLS start 2031 |
| **Total** | **66 / 10 =** | | **6.6** |

*Table 3. Equal-weighted under the Durrett 2.2 rubric; People, Share Structure, Buzz and Valuation are judgment calls. Scores are unchanged after the resource correction; EV per plausible lb moved from about $15 to about $14 and stays in the Fair band.*

# Radar Chart




# Valuation: Sum of the Parts

Margin per lb = U3O8 price minus 1.3x AISC. Attributable plausible pounds are spread evenly over each project's life, discounted at 5% (mid-year) and multiplied by the Durrett 2.2 stage factor. PLS capex is deducted at present value.

| PROJECT | ATTRIB. Mlb | START (yrs) | LIFE (yrs) | AISC $/lb | PADDED AISC | STAGE |
|---|---|---|---|---|---|---|
| Langer Heinrich (75%) | 71.9 | 0 | 14 | 62.00 | 80.60 | 1.00 |
| PLS | 103.9 | 4.7 | 11 | 15.20 | 19.76 | 0.60 |

*Table 4. LHM AISC $62 = FY2027 cost-of-production midpoint US$46 [2] + capex US$32M / 5.35 Mlb ($6.0) + stockpile and stripping ($8, assumed) + royalty ($2.5, assumed 3%); cost of production excludes these items [1]; June-quarter figure US$51.6/lb [13]; Sep-2026 quarter US$61.60/lb [16]. PLS AISC US$15.2/lb, 10-year life (11 used to carry plausible pounds), first production 2031 [3]; stage 0.60; start 4.7 yrs assumes FID end-2027 plus a three-year build [3][12]. The 14-year LHM life is retained although plausible pounds rose; it is an assumption (the company cites a 17-year life on the 2025 reserve).*

| USD MILLIONS | $85 | $100 | $150 |
|---|---|---|---|
| Langer Heinrich NAV (75%, stage-weighted) | 229 | 1,010 | 3,613 |
| PLS NAV (stage-weighted) | 2,502 | 3,077 | 4,995 |
| **Project NAV** | **2,731** | **4,087** | **8,608** |
| Less: PLS pre-production capex (PV) | (1,076) | (1,076) | (1,076) |
| Less: debt facility | (32) | (32) | (32) |
| Less: uranium product loan (0.40 Mlb at scenario price) | (34) | (40) | (60) |
| Plus: cash and short-term investments | 265 | 265 | 265 |
| **Equity value** | **1,855** | **3,205** | **7,705** |

| USD MILLIONS | $85 | $100 | $150 |
|---|---|---|---|
| **Per share (449.3M basic shares)** | **$4.13** | **$7.13** | **$17.15** |
| vs. current price ($6.09) | -32% | +17% | +182% |

*Table 5. Capex US$1,226M over three years at 1.7, 2.7 and 3.7 years out (FID end-2027) [3][12]. Cash US$151.9M plus short-term investments US$113.0M; debt US$32.0M; undrawn US$70M RCF not counted [1]. Product loan 400,000 lb at Jun 30, 2026 [8]. Prior draft (Oct 9): $4.04 / $6.73 / $15.72; the only change is the LHM NAV.*

## Sensitivities

*Illustrative scenarios; not a forecast or price target.*

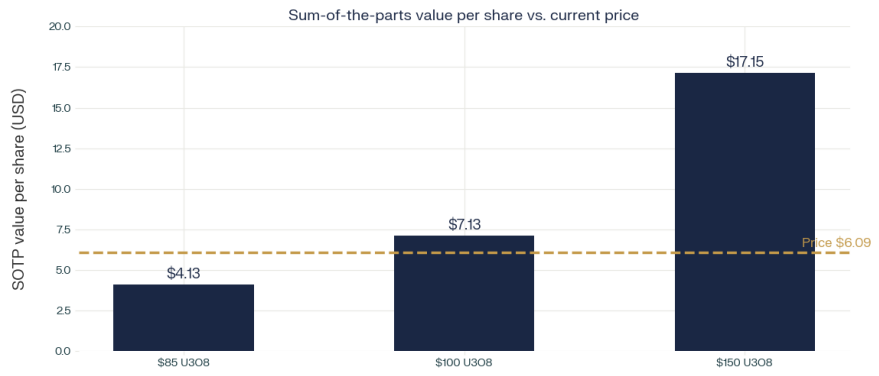
| CASE ($100 URANIUM) | PER SHARE | VS. BASE | RATIONALE |
|---|---|---|---|
| Base case | $7.13 | n/a | Table 5 at $100 |
| PLS NAV 50% lower | $3.71 | -48% | Licence, funding or cost shortfall; analyst assumption |
| PLS capex 25% higher (US$1.53B) | $6.53 | -8% | Overrun risk; analyst assumption |
| PLS first production one year later | $6.81 | -5% | Schedule slip; NAV delayed, capex timing held; analyst assumption |
| $400M equity raise at $6.09 (65.7M shares) | $7.00 | -2% | Funding illustration; analyst assumption |
| LHM at steady-state stage (1.10) | $7.36 | +3% | Ramp-up complete; analyst assumption |
| Corporate G&A of US$34M/yr over 14 years | $6.37 | -11% | FY2026 G&A US$34.1M [14]; assumed to continue |

*Table 6. All cases are analyst assumptions.*

## Analyst Cross-Check

| SOURCE | RATING | TARGET (USD) |
|---|---|---|
| Investing.com (ASX consensus, Oct 6, 2026) | Mixed | Avg A$13.62 (about $9.48); 56% above price |
| Goldman Sachs (Oct 8, 2026) | Neutral (upgraded from Sell) | Target not retrieved |

*Table 7. Aggregator data are secondary.*



# Input Assumptions Disclosure

| INPUT | VALUE | BASIS |
|---|---|---|
| U3O8 price | $85 / $100 / $150, flat | Client scenarios; not a forecast |
| Discount rate / cost pad | 5% / 1.3x | Client instruction |
| Durrett constants | 0.9 / 0.65 / 0.30 | Project override |
| LHM resources and reserves | 77.5 P&P / 113.7 M&I / 8.4 inferred Mlb | Paladin ASX summary as at Jun 30, 2025 [15]; not depleted |
| PLS capex | US$1,226M | Engineering review [3]; timing assumed |
| LHM capex | US$29-35M a year | FY2027 guidance [2] |
| FX | 0.6962 USD/AUD | Oct 7, 2026 [9]; targets only |
| Start dates | LHM 0; PLS 4.7 yrs | FID end-2027 [12] plus 3-year build; assumption |
| Cash / debt | $265M / $32M + product loan | [1][8] |
| Shares | 449.3M basic | [5]; rights and options not retrieved |

*Table 8. Several inputs rely on secondary sources or assumptions.*

# Capital Raise Outlook (18 months)

Probability of a meaningful equity raise (about $100M or more): about 50%; forced raise: about 10%. Cash of US$265M and an undrawn US$70M facility compare with US$1.23B of PLS capex, and FID is not targeted until end-2027 [1][3][12]. A $400M raise at $6.09 adds about 65.7M shares (14.6% of basic).

*This section is analyst judgment, not a sourced forecast.*

## Capital Raise History

| DATE | EVENT | SIZE (USD) | ISSUE PRICE (USD) | NEW SHARES (M) | DILUTION % | SOURCE |
|---|---|---|---|---|---|---|
| Sep 16, 2025 | Fully underwritten equity raising for PLS: A$300M, including a C$30M Canadian bought deal at C$6.66 | about $198M (approx.) | not found | not found | not found | [7] |
| Dec 20, 2024 | Share issue (consistent with the Fission acquisition scrip); 398.9M shares on issue afterwards | not found | n/a | 99.8 | 33.4% | [13] |

| DATE | EVENT | SIZE (USD) | ISSUE PRICE (USD) | NEW SHARES (M) | DILUTION % | SOURCE |
|---|---|---|---|---|---|---|
| **Total** | **Dec 2024 - Oct 2026: shares on issue 299.1M to 449.4M** | | | **150.3** | **50.2% cumulative** | |

*Table 9. Dilution % = new shares / shares before the event (99.8M / 299.1M for Dec 2024). The Sep 2025 raise converts A$300M at about 0.66 USD/AUD (approx.); its share count and price were not verified. The total includes the Sep 2025 raise and rights vesting.*

# Red Flags and Investor Concerns

**Red Flag: PLS funding gap.** US$1.23B of capital vs US$265M of cash; FID not until end-2027; no financing committed [1][3][12].

**Red Flag: Licensing timeline.** The CNSC found the PLS application sufficient but has not set a hearing date [11][12].

**Red Flag: Langer Heinrich margins.** Cost of production US$51.6/lb in the June quarter and US$61.60/lb in the September 2026 quarter (output 1.00 Mlb, low end of range); FY2027 guidance reaffirmed at US$44-48/lb, excluding stockpile, stripping, royalties, G&A and sustaining capital; a full AISC near $62 leaves little margin at $85 uranium [1][2][13][16].

**Red Flag: Partner and jurisdiction.** 25% of Langer Heinrich belongs to a Chinese state-owned partner; Namibia is Tier 2 [1].

**Red Flag: Good Buzz (4), Upside (5).** Price near $6.09 after a roughly 5% drop on Oct 7; Goldman only moved to Neutral on Oct 8 [5][6].

# Observations and Next Steps

Watch the PLS CNSC hearing date and financing, Q1 FY2027 follow-through on the LHM cost guide, and product loan repayment. Verify the June 2026 LHM reserve and resource statement (depletion), performance rights and options, CNOL shareholder loans, inventory, the royalty rate and stockpile and stripping costs. No Paladin record was found in the project RAG JSON; an updated RAG record with the corrected LHM figures is available on request.

# Data Quality Audit

Data Quality Score 6.9 / 10 (accuracy 7.0, source reliability 7.0, internal consistency 7.0; weighted 0.5 / 0.3 / 0.2). Verified: FY2026 production, cost of production and exclusions, cash, debt, G&A [1][13][14]; PLS reserves, resources, AISC, capex [3]; LHM reserves and resources as at Jun 30,

2025 [15]; CNSC sufficiency [11]; Dec 2024 share count [13]. Provisional: LHM depletion since Jun 2025; LHM AISC build, life, royalty, stockpile and stripping; Sep 2025 raise terms [7]; share count (no rights or options); analyst data [6]. Internal self-assessment, not an independent audit.

## Sources and Footnotes

| # | SOURCE |
|---|---|
| [1] | Paladin FY2026 Financial Results Overview (Aug 25, 2026): production 4.82 Mlb, cost of production US$43.3/lb and exclusions, cash US$265.0M, debt US$32.0M, net cash US$233.0M, RCF US$70M undrawn. |
| [2] | Paladin LHM FY2027 Guidance (Jul 22, 2026), ASX. |
| [3] | Paladin PLS presentation (Aug 28, 2025) and Engineering Review (Aug 27, 2025); feasibility summary. |
| [4] | (Superseded) The Extractor Magazine (Jul 22, 2026) secondary LHM summary; replaced by [15]. |
| [5] | MarketWatch, Zacks, MarketBeat, Morningstar (Oct 6-8, 2026). |
| [6] | Investing.com consensus (Oct 6, 2026); Goldman Sachs upgrade (Oct 8, 2026). |
| [7] | Paladin A$300M equity raising (Sep 16, 2025), ASX (capital raise source). |
| [8] | Paladin June 2026 quarterly report: product loans. |
| [9] | Trading Economics (Oct 7, 2026): AUD/USD 0.6962. |
| [10] | World Nuclear News (Feb 23, 2026): EIS approval. |
| [11] | CNSC PLS page (Aug 10, 2026): sufficiency, Jun 11, 2026 letter. |
| [12] | Northern Miner (Nov 1, 2024): FID targeted by end-2027. |
| [13] | Paladin Dec 20, 2024 securities notice (99,796,395 shares issued; 398,909,417 on issue); June 2026 quarterly presentation. |
| [14] | Paladin FY2026 MD&A (Aug 26, 2026): G&A US$34.1M. |
| [15] | Paladin June 2026 Quarter Results Presentation (ASX, Jul 22, 2026): LHM Mineral Resources and Ore Reserves as at Jun 30, 2025. Cross-checked to Paladin AIF (Sep 12, 2025): LHM reserve 80.4 Mt at 437 ppm, 77.5 Mlb; PLS indicated 118.8 Mlb, inferred 10.9 Mlb. |
| [16] | Paladin Quarterly Report, period ending Sep 30, 2026 (Oct 13, 2026): LHM 1.00 Mlb, cost US$61.60/lb, FY2027 guidance reaffirmed. |
| [17] | Investing.com, Paladin Q1 FY2027 slides summary (Oct 14, 2026): "70 Mlb ore reserve" (secondary, unverified). |
| [18] | Simply Wall St / Paladin: JORC-format PLS Mineral Resource and Ore Reserve update (secondary; figures not retrieved). |

*Sources [1]-[14] accessed Oct 9, 2026; [15]-[18] accessed Oct 15, 2026.*

## Conflicts of Interest, Holdings and Compensation

| ITEM | DISCLOSURE |
|---|---|
| Compensation for this analysis | Fifth Generation Advisers receives no compensation of any kind, to or from Paladin Energy Ltd, its officers, directors, affiliates, underwriters or financing agents, or any other third party, in connection with this analysis. |
| Independence of the analysis | Prepared from public information, without review or input from Paladin Energy Ltd. No analysis is free of bias; model assumptions, scores and judgment calls are ours and are identified. |
| Positions | As of Oct 9, 2026, positions of the firm, principals, employees and advisory clients in Paladin Energy Ltd are not material: fewer than 100,000 shares in total across all of them. |
| Other relationships | No investment-banking, advisory, consulting, finder or other relationship with Paladin Energy Ltd exists, and none existed in the past 12 months. |
| General and impersonal | General and impersonal; not tailored to any recipient and not personalized advice. |
| Third-party method | The 10-factor framework follows Don Durrett's published method; Fifth Generation Advisers is not affiliated with, endorsed by or compensated by Mr. Durrett. |

# Important Disclosures

**Nature of this report.** General and impersonal, for informational purposes only; not investment, tax or legal advice and not an offer or solicitation. Fifth Generation Advisers is registered as an investment adviser [TO CONFIRM: registrant, Form ADV URL]; registration does not imply a certain level of skill or training.

**Scenarios are not forecasts.** Per-share values, upside percentages, sensitivities and capital-raise probabilities are hypothetical outputs of the stated assumptions, not price targets. Metal prices are held flat; the discount rate and cost pad are analyst choices.

**Mineral resource figures.** Reserves and resources are estimates; inferred resources are speculative. "Plausible" pounds are our own weighting (P&P x 0.9 + (M&I minus reserves) x 0.65 + Inferred x 0.3) and are not a category recognized under SEC S-K 1300 or NI 43-101.

**Principal risks.** Commodity price; financing and dilution; permitting, regulatory and political; operating and execution; liquidity and volatility; cross-listing and currency; estimation risk. Loss of all principal is possible. Past performance does not guarantee future results.

**Report status and key limitations.**

- **General and impersonal.** Not tailored to any person and not personalized advice.
- **Rating.** Hold (downside bias) is the firm's general opinion over the next 12 months as of the analysis date; not a recommendation to buy, hold or sell.
- **Scenarios, not forecasts.** Values are illustrative outputs at flat metal prices of $85, $100 and $150; not price targets.

- **Model limits.** PLS capex is deducted at present value; the Langer Heinrich AISC, life, royalty and stockpile costs are assumptions; CNOL shareholder loans, corporate overhead, exploration assets and inventory are valued at zero; start dates are assumed; the share count is basic.
- **Compensation and conflicts.** No paid compensation received; see the Conflicts section.

**Method source.** Method adapted from How to Invest In Gold and Silver - D. Durrett: https://a.co/d/01XVxUfE

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